

PASSIVE PITFALLS

Every investment comes with its own set of risks. “With passive, there is often limited flexibility during extreme market conditions, and investors may also miss out on opportunities that active stock selection can offer,” says Agarwal.

Some investors may not conduct a thorough analysis of whether it matches their goals or risk appetite.

Another risk is that of sector concentration. “In the Nifty 50, the top 10 stocks now make up over 62% of index weight, exposing passive investors to shocks (if any) in those names,” says Vikash Wadekar, Head of Passive Business at Axis Mutual Fund. Many indices, such as the Nifty50, are heavily skewed towards sectors like BFSI and IT.

Tracking error can cause passive funds to deviate from index performance, especially during volatile markets or due to fund expenses.

INDEX PLAY

Whether you invest in a large-cap active or passive fund, your underlying exposure is equity. The risk doesn’t change. The only way you can cushion your portfolio is by diversifying across asset classes. If you have equity, gold, and some debt, you protect yourself. “Passive is the easiest way to build such a portfolio,” says Jain.

If you were building a passive portfolio, the easiest way is to invest 25% in a large-cap, 25% in a mid-cap, 30% in a small-cap index fund. Then add maybe 20% in a gold ETF to diversify.

But your investment strategy should be a mix of active and passive. “Investing in broad-based passive funds with low-cost fee structure combined with active funds from exceptional managers



“Passive funds bring simplicity. They’re cost-efficient products. It’s easy for someone to understand: if I want to ride the India growth story, these will lead the way”

VISHAL JAIN
CEO, ZERODHA FUND HOUSE



“Passive investing follows a rules-based approach (such as tracking an index), which discourages investors from reacting emotionally to market swings”

ADITYA AGARWAL
CO-FOUNDER, WEALTHY

is what one should aim for,” says Rohit Beri, CEO & CIO, ArthAlpha, an AI-driven investment firm.

A core-satellite approach works best for balancing risk, growth, and oversight. “The core of the portfolio can be built with low-cost passive index funds or ETFs, providing broad market exposure, cost efficiency, and long-term stability,” says Himanshu Srivastava, Principal Analyst, Morningstar Investment Research India.

Around this, investors can add a satellite component consisting of actively managed funds, thematic strategies, or alternative assets to capture alpha opportunities and participate in emerging trends. “This allows investors to keep costs

low, benefit from steady market-linked returns through the core and use the satellite portion for tactical plays and growth opportunities, ensuring a well-diversified and resilient portfolio,” says Srivastava.

“For me, I would do 85% core and 15% satellite. Someone more aggressive may do 60–40. The problem otherwise is people end up with 30–40 entries in their DEMAT account, with no control, and in bad times they’re down 50% while the index is down 20%,” says Jain.

Dhirendra Kumar, Founder & CEO, Value Research, an independent investment research firm, sums it up best: “Cost is certain, alpha is not. Treat passive as the default, not the afterthought.” **BT**